

Circular Details	GC152 / 28 June 2023 / A864741
Previous Circular	GC151 / 12 April 2022 / A814632
Who should read this	Councillors / General Managers / Finance Managers
Contact	Helen Pearce / 02 4428 4131 / olg@olg.nsw.gov.au
Action required	Information

2023-24 Financial Assistance Grants (FA Grants) – advance payment

What's new or changing

- The Federal Government has announced the advance payment of the preliminary 2023-24 FA Grants will represent approximately 100% of the amount council is entitled to.
- Further adjustments to the remaining payments will take into account:
 1. the determination by the Commonwealth Treasurer of the final adjustments for 2022-23
 2. the Grants Commission's recommendations for 2023-24.
- The Commission will advise councils of the recommendations when they have been finalised after the Commonwealth advises the amount of the final adjustments.

What this will mean for your council

- The advance payment amount, as set out in the attached schedule, was paid to councils on 27 June 2023.
- The balance of the grants will be paid in quarterly instalments during 2023-24.
- The first quarterly instalment is expected to be paid to councils in mid-August 2023, with subsequent instalments in November 2023, February 2024, and May 2024.
- All councils will be advised by letter of individual councils' estimated entitlements for 2023-24 FA Grants.

Key points

- The grants are paid under the provisions of the *Local Government (Financial Assistance) Act 1995* (Cwlth).
- The total amount of the annual FA Grants, and whether and when an advance payment is made, is determined by the Federal Government.
- Over the past 5 years, the FA Grants program has been transitioning to new funding model which provides an upper limit of +5% and lower limit 0% on an individual council's' general purpose component when compared year on year.
- No council has been receiving a lower grant than the previous year.

- The NSW Grants Commission is working in consultation with local councils on a strategy to restore former upper and lower limits, including a range of +5% to -2%, to +6 to -4%.
- The FA Grants will remain in transition with a 0% lower limit in 2023-24.

Where to go for further information

- Updates about the transition and general information are available on the Office of Local Government Website:
<https://www.olg.nsw.gov.au/commissions-and-tribunals/grants-commission>
- Please contact Helen Pearce, Executive Officer, if you require any further information.



**Helen Pearce
Executive Officer
Grants Commission**